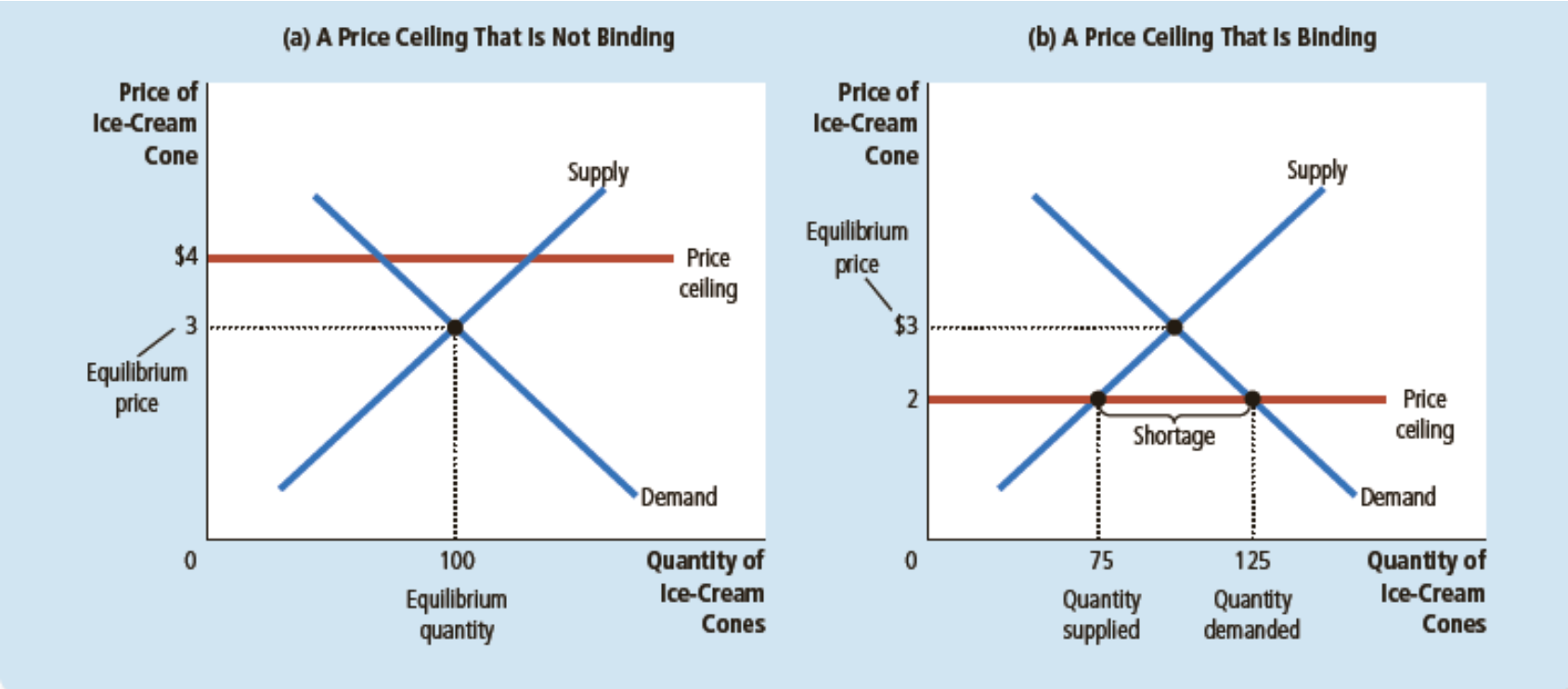
Supply, Demand, and Government Policies

Reference: Microeconomics by Mankiw (8e)

Indraprastha Institute of Information Technology, Delhi

January 22nd, 2026

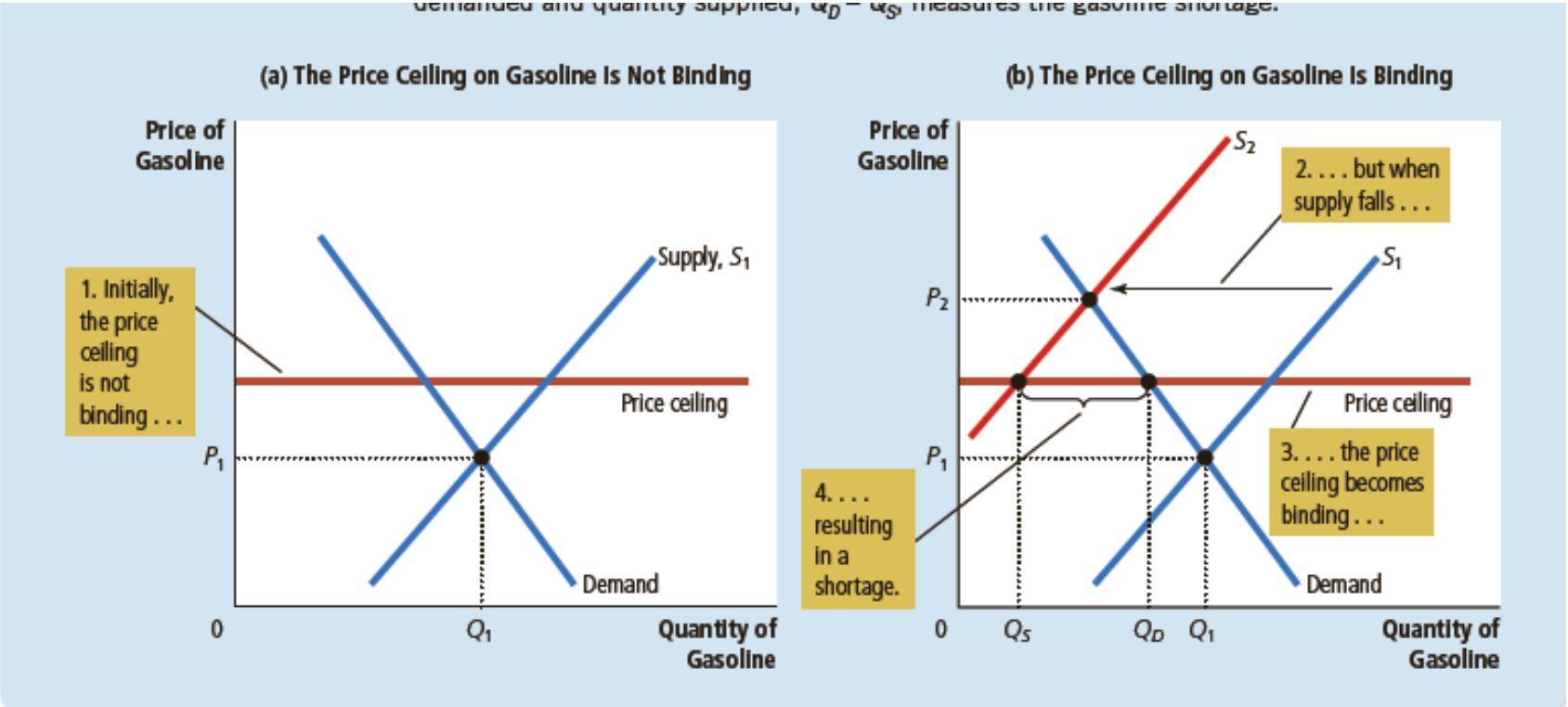
Price Ceilings



Price Ceilings

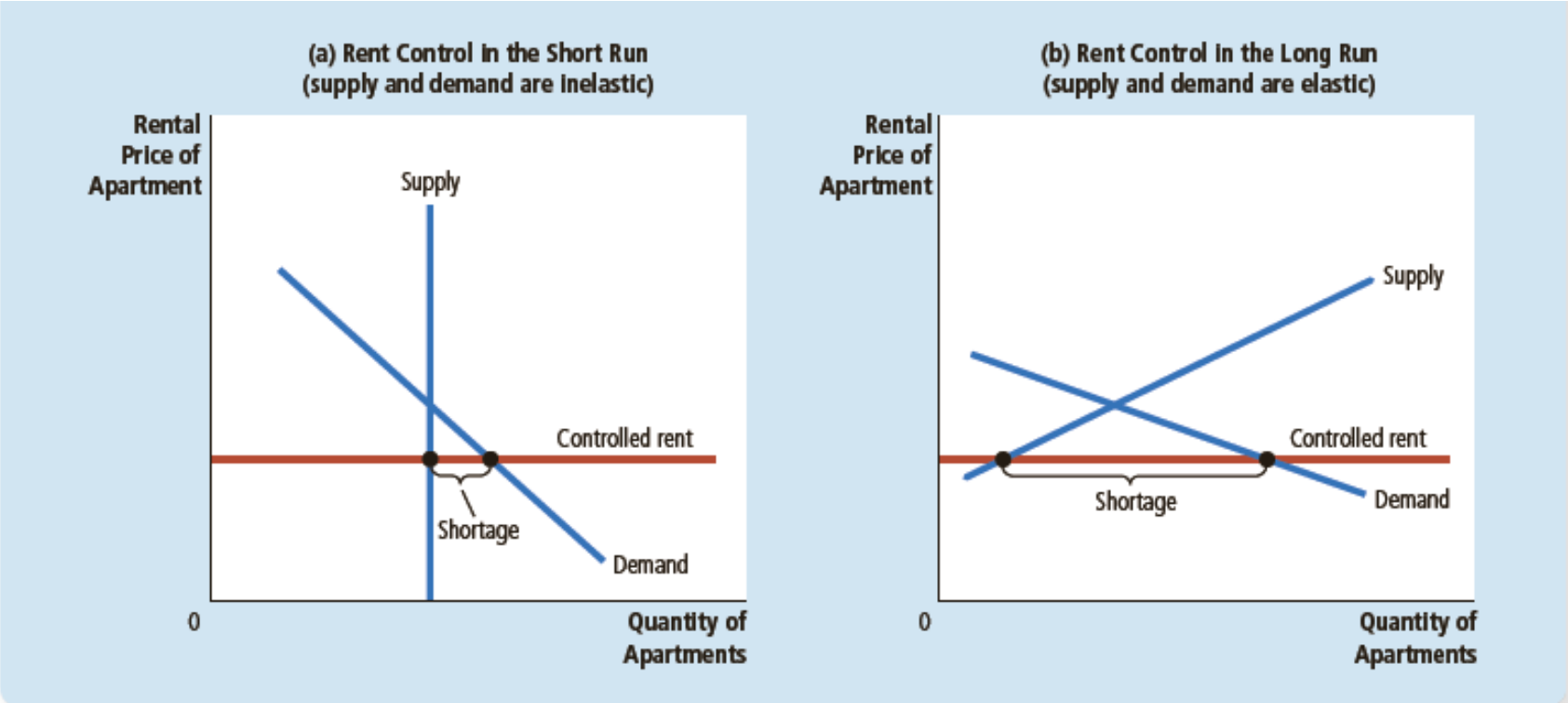
- This was quite intuitive.
- On the balance, it looks like it is easy to think about whether or not a policy creates constraints.
- However, we must think about how an older policy can create (er even solve) problems.

Price Ceilings

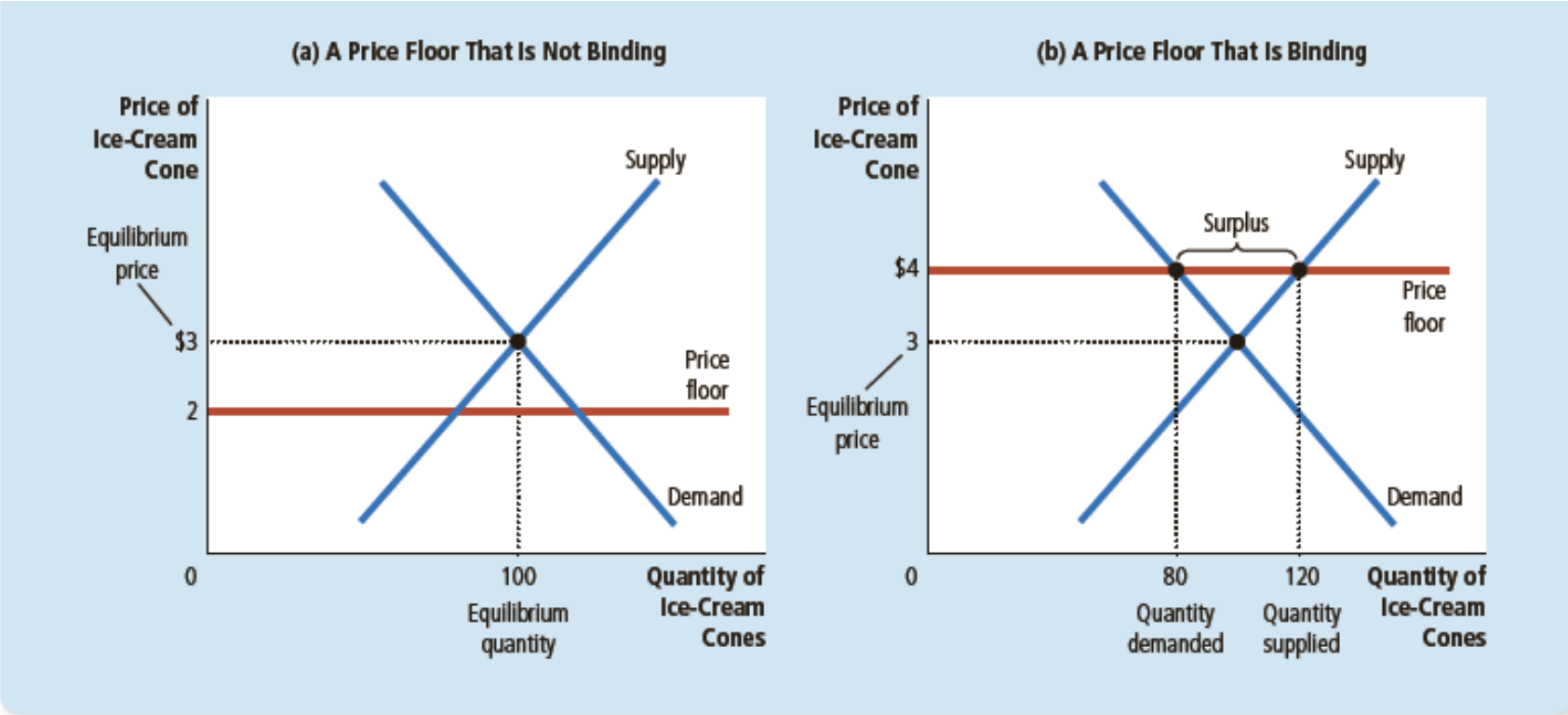


Does Elasticity play a role?

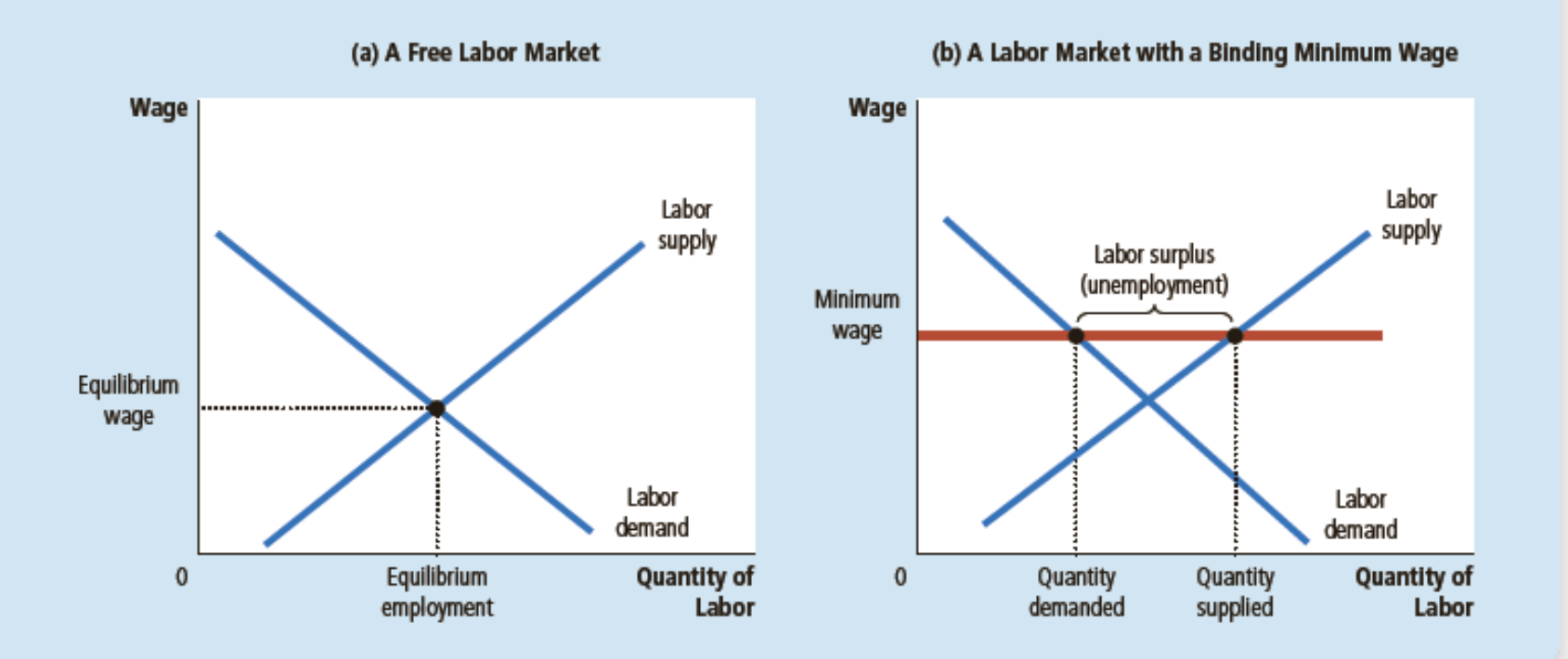
- Here we see why policy needs to be updated.



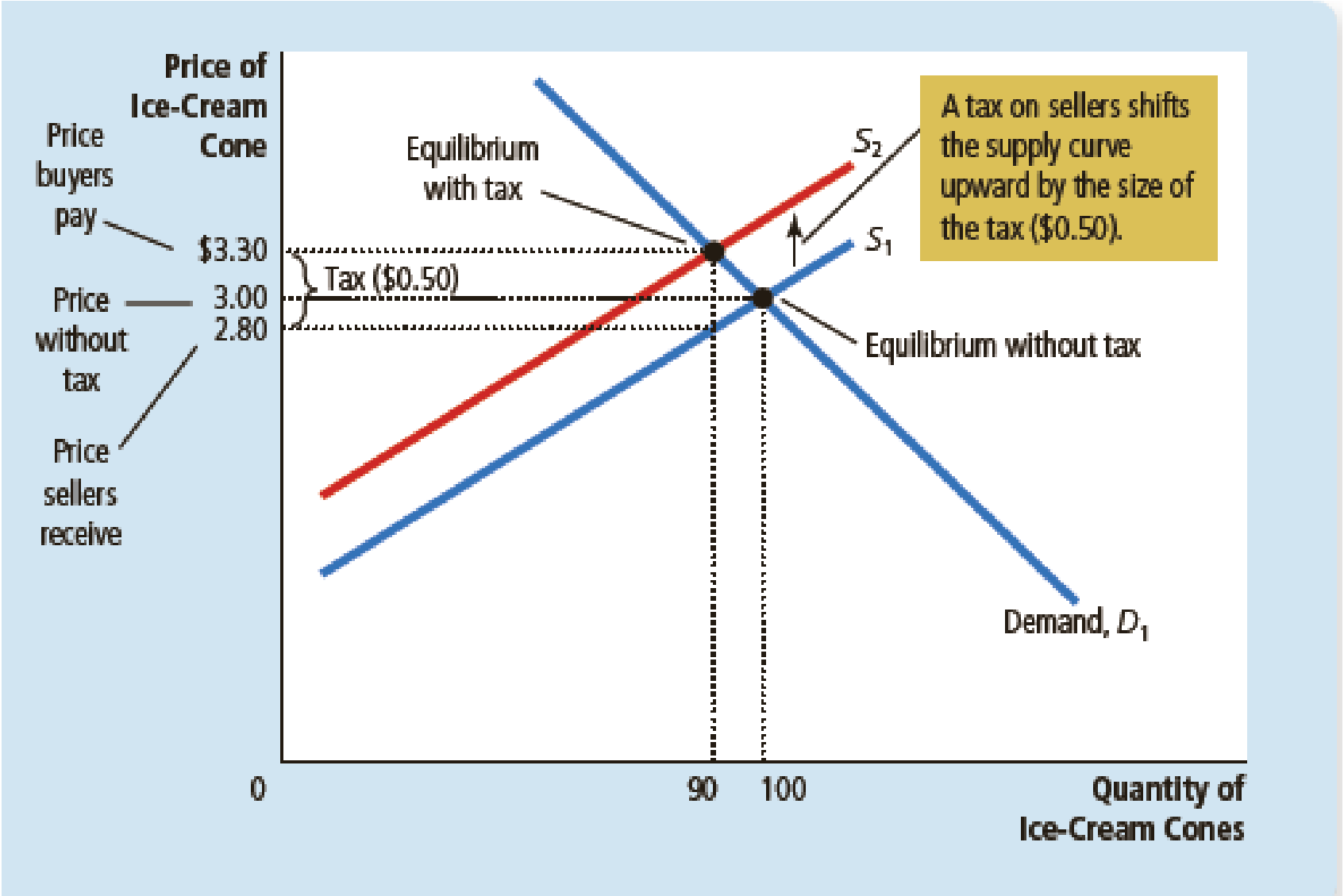
The logic can be transferred to Price Floors as well.



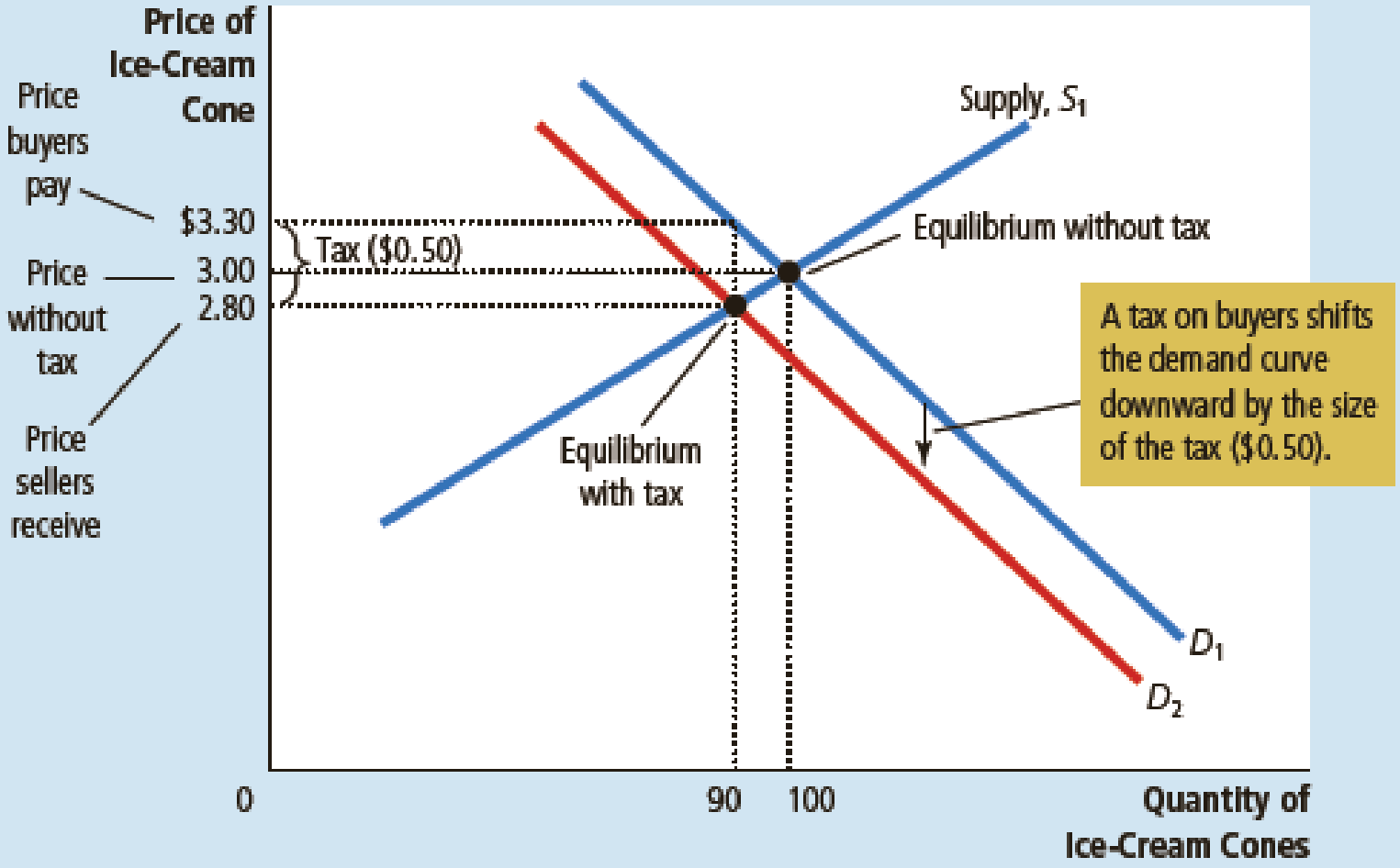
The logic can be transferred to Price Floors as well.



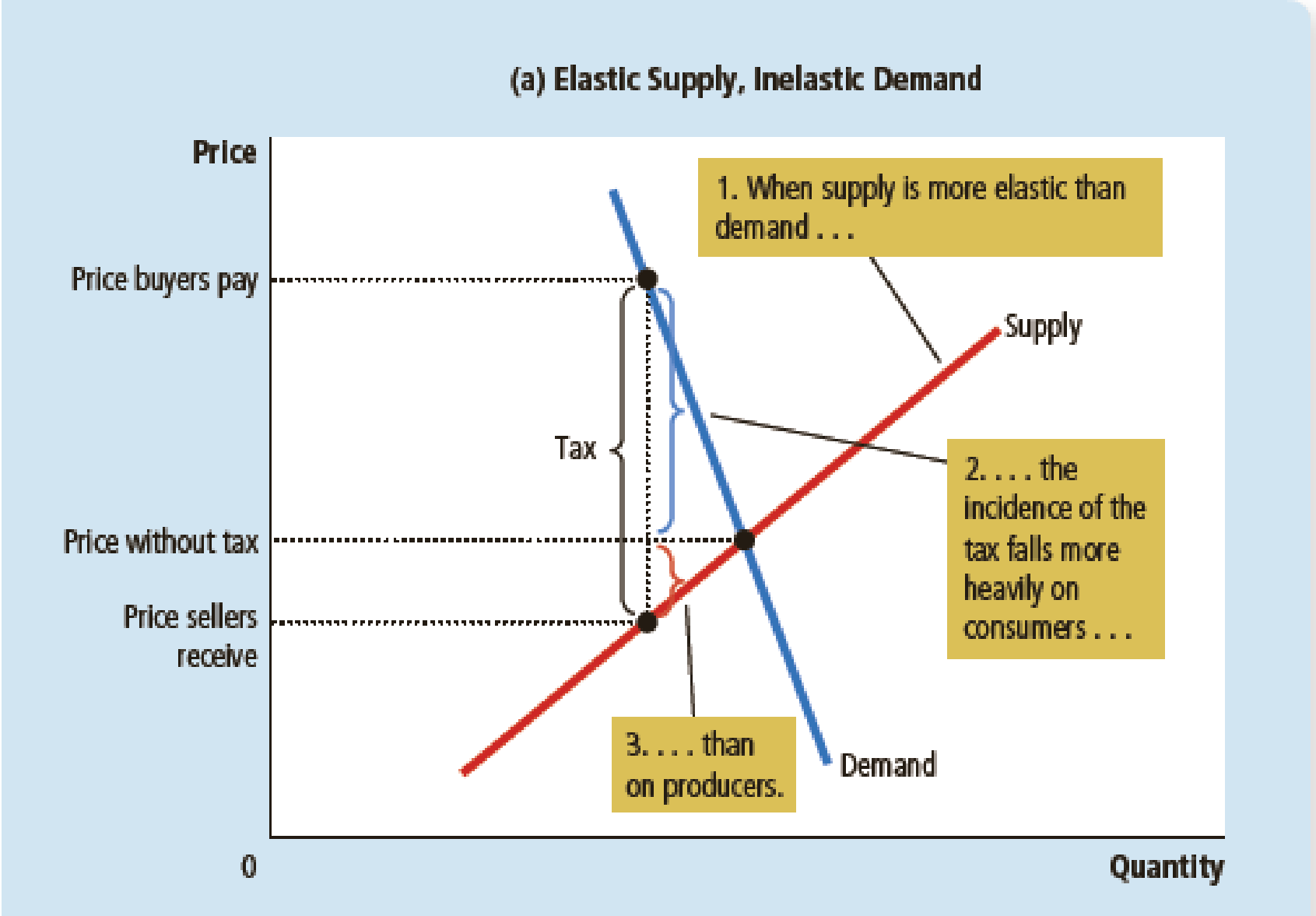
Tax on Supply



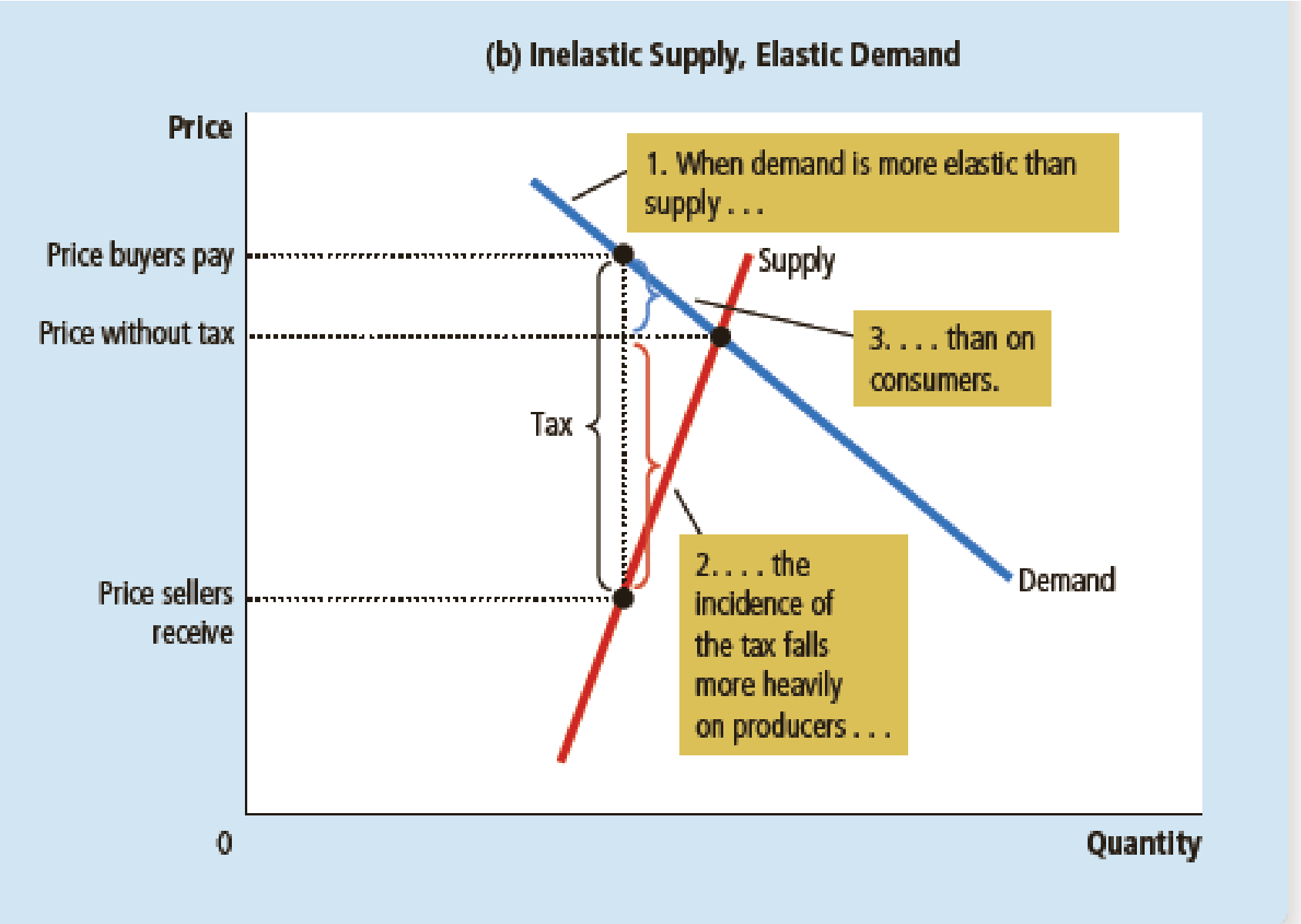
Tax on Demand



Does Elasticity Matter.



Does Elasticity Matter.



Luxury Tax: Is it a good idea?

- On the face of it, it seems like a good idea to tax luxury good heavily.
- However, Supply is more inelastic than demand in these cases.
- Thus, while these goods are normally consumed by the rich, the burden is on the firm.